My Own Personal Sales Booklet

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Chapter 1

Introduction

> "If people knew how hard I had to work to gain my mastery, it would not seem so wonderful at all."
>
> Michelangelo Buonarroti

1.1 Learning Techniques

The following is the five-step Feynman Technique:

1. Choose the topic.
2. Explain it as if you are explaining it to someone with no prior knowledge.
3. Find where your explanation breaks down or lacks clarity.
4. Review the material.
5. Rewrite using language that is easily understood with clear examples.

The following is my own personal process to write my conceptual understanding of the material I learned:

1. **Take notes.**
2. **Question.**
   - What are we trying to learn?
   - Why are we trying to learn this material?
   - How will this apply to my overall goal?
3. **Extract.**
   - Gather information from sources (reading, notes, slideshows, videos, etc.).
   - Pull out information that will help us understand the answers to our questions.
4. **Load.**
   - Internalize the information and find a way to connect it all together.
5. **Transform.**
   - Synthesize and re-express the information in your own words.
   - Use the Feynman Technique mentioned above to synthesize the information.
6. **Teach.**
   - Using the Feynman style, try explaining it to a friend and find gaps.
   - Review and refine.

1.2 Pledge of Commitment

Nihil Sine Labore - Nothing without hard work or labor.

Chapter 2

Abstracted View of Selling

> "All you need in this life is ignorance and confidence; then success is sure."
>
> Mark Twain

2.1 Learning Outcomes

2.2 Background Information

2.2.1 Four Core Principles of Economics

Economics focuses on scarcity and how it requires individuals, businesses, and governments to make choices.

Economic analysis focuses on individual decision-making.

Resource allocation is the allocation of an economy's scarce resources among alternative uses.

The **four core principles** act as the main framework for understanding decision-making:

1. Cost-Benefit Principle.
2. Opportunity Cost Principle.
3. Marginal Principle.
4. Interdependence Principle.

2.2.1.1 Cost-Benefit Principle

Cost-benefit principle is when a choice is only worth making if the benefits are greater than or equal to the costs. It is important to note that in the case of forgoing the next best alternative, that cost is included.

For example, suppose we have a chocolate bar. The chocolate bar costs $2. You think the chocolate bar is worth $3. Since the benefit you get is greater than the money you lose, you should buy it.

In another example, suppose we are going to get dinner at a restaurant with a friend. The dinner costs $40; however, the value of the meal is $20. The value of your friend's company is $40. If you stay at home, the cost of groceries is $8. In this case, the benefit is $60, and the cost is $48. Since the benefit is greater than the cost, you should go to dinner with your friend.

WTP (Willingness to Pay)

The maximum amount the consumer is willing to give up to get something. Essentially, it is what we think the value (worth) of a product is.

For the same chocolate bar, based on the fact that we think the chocolate bar is worth $3, that is our **WTP**.

Economic Surplus (Between Benefits and Total Costs)

An **economic surplus** is the difference between the total benefits and the total costs. It determines how good a choice is (positive surplus is a good choice, negative surplus is not).

For the same chocolate bar, based on the fact that we think the chocolate bar is worth $3 and costs $2, the surplus is $1. This was a good choice.

Framing Effects

Framing effects are when the brain can be influenced by rearranging the words in a statement, even though both statements mean the same thing.

Suppose we have a professor who indicates that a company has 6,000 jobs total.

Example - "Save 2,000 jobs." This means that 2,000 jobs would remain, and 4,000 jobs would be lost.

Example - "Lose 4,000 jobs." This means that 4,000 jobs are gone, and the rest remain. In this case, 2,000 jobs were saved.

2.2.1.2 Opportunity Cost

Opportunity cost is when you choose one thing, you lose the chance to do the next best alternative, as a result of scarcity.

Suppose we have one hour to allocate time, and we have ordered our priorities:

1. Homework; $50 value.
2. Hanging out with friends; $11 value.
3. Watching Netflix; $10 value.
4. Taking a nap; $15 value.

Suppose I choose to do my homework, which is valued at $50. I choose to do my homework because the benefit of doing it outweighs the cost of forgoing the next best alternative (the highest-valued next best alternative), which is taking a nap.

Scarcity and Trade-Offs

Scarcity can be defined as limited resources but unlimited human wants. This will always be the case.

Because scarcity is a factor, every choice we make requires us to give something up. There are limitations in terms of money, time, energy, and attention. Every decision we make involves a trade-off. When we choose one thing, we lose the chance to choose something else.

Example - "Going to school" vs. "Working a full-time job."

We cannot do both at the same time. This means that choosing one means giving up parts of the other.

For example, if you choose to go to school, you give up the money you could have earned from working. You miss out on money you could have made while working full-time. You also pay tuition. This is an opportunity cost, as if you chose to work instead, you would not pay tuition.

Costs like rent and food are not opportunity costs because regardless of the choice we make, we would have to pay them either way. Time spent studying is also not an opportunity cost, as that time would otherwise be spent working full-time.

Example - "Going to Kurdistan" vs. "Staying in Canada"

By going to Kurdistan, I give up staying in Canada. By choosing to stay in Canada, I give up seeing family, friends, and culture from Kurdistan.

Note: Whenever we talk about opportunity cost between two things, we should ask: *What do we give up by making one choice over the other?*

Sunk Cost

A **sunk cost** is something that has already been paid for but cannot be recovered.

For instance, suppose you pay $12 for a movie ticket. If the movie is terrible, you should leave. The $12 is already gone either way, so it should not influence your choice.

Sunk cost fallacy is the inability to walk away from something that has been heavily invested in, even when giving up is a better idea.[1]

Efficiency vs. Equity

Efficiency focuses on maximizing total output with given resources.

Productive efficiency is when the economy is getting the maximum output from the resources it has (usually along a PPF).

Allocative efficiency is when the economy produces the combination of goods and services that society values most.

Equity focuses on how income, wealth, and opportunities are distributed across society.

Example - Suppose we have a pie. Efficiency is about making the pie as big as possible, while equity is about sharing the pie in a way that leads to equal outcomes.

Substitutes vs Compliments

2.2.1.3 Marginal Principle

Individuals and firms should make decisions by comparing the *marginal benefits* and *marginal costs* of an action. Within the marginal principle, we should **continue doing something if the marginal benefit is greater than or equal to the marginal cost.**

Simply put, instead of asking, *"How much should I do of something?"*, you ask:

"Should I do one more unit of that something?"

Marginal benefit is the extra benefit you get from doing one more unit of something.

Marginal cost is the extra cost you face from doing one more unit of something.

The **rational rule (MB = MC)** states that if something is worth doing, you should keep doing it until marginal benefits equal marginal costs.

2.2.1.4 Interdependence Principle

The **interdependence principle** states that the best choice depends on other choices you make, the choices others make, developments in other markets, and expectations about the future.

Everything is connected, and choices are influenced by the world around you due to limited resources.

2.2.1.5 Economic Activities and Markets

Markets are places where goods, services, and resources are bought and sold through interactions between firms and households.

Product Market

A **product market** is where goods and services are bought and sold.

Firms supply goods and services, while households demand them.

Labour Market

A **labour market** is a market for human skills and effort.

Households supply labour, while firms demand labour.

Capital Market

[1] Dan Pilat and Sekoul Krastev, *The Sunk Cost Fallacy*, Accessed 2026, 2020, `https://thedecisionlab.com/biases/the-sunk-cost-fallacy`.

A **capital market** is a market for financial capital such as savings, loans, and investment funds.

Savers supply funds, while firms borrow funds.

2.2.1.6 Positive vs. Normative Economics

Positive economics focuses on what will happen if a certain action is taken. These statements are testable and based on facts.

Normative economics focuses on what should be done. These statements are based on personal beliefs or value judgments.

Example - Increasing labour costs for firms will lead to a smaller labour market. This statement is testable and therefore represents positive economics.

Example - The government should implement a federally mandated minimum wage so workers can earn a living income. This statement reflects a value judgment and therefore represents normative economics.

2.2.2 Cost and Pricing

2.2.2.1 Expenses, Expenditures and Cost

Cost can be defined "as the expenditure incurred on various inputs such as land, labor, capital, and entrepreneurship to produce goods and services".[2] Simply put, cost is *the amount of resources spent (the input) on generating a good or service*.

Expenses are the costs required to generate revenue and net profit for a business. Another way of framing this is, expenses are how much a business cost offers a business's revenue. There are different types of expenses, such as operating expenses (rent, utilities, etc.), costs of goods sold, administrative expenses, and selling expenses.[3]

Expenditures include all outflows of money, and specifically deal with the purchase of goods or services. The goal for an expenditure is to benefit the business. There are different types of expenditures: capital, and revenue expenditures. Capital expenditures (CapEx) are expenditures that are founded within long-term goods, or services, where revenue expenditures (OpEx) encompass more short-term, day-to-day costs.

Cost structures are the categorization of expenses a business takes on while operating. Costs such as money, real, fixed, variable, explicit, implicit, private, social, total, average, marginal, short-run, long-run, intangible, and tangible costs are all examples of cost structures (a mouthful, right?).

Money and Real Cost

Money costs are the monetary expenditures to produce a product or service (e.g. wages, rent).

Real costs are the pain and effort of all resources used in production, and captures both mental and physical efforts of labor.[4]

Fixed and Variable Costs (Production Costs)

Fixed costs are costs that stay consistent regardless of the output produced (e.g. rent, salaries, software subscriptions). It's important to note, sunk costs can be considered as fixed costs, but not all fixed costs are to be considered as a sunk cost.[5]

Variable costs are costs that vary (either increase or decrease) based on the output produced (e.g. raw materials, commission, shipping, labor). Variable costs are also highly industry specific, as product output cannot be compared along distinct industries (for instance, you cannot compare the variable

[2] L. Ramlakhanpatel Kin, "Concepts of Cost – A Detailed Explanation", *Medium*, Oct. 2025, `https://medium.com/@lramlakhanpatel/concepts-of-cost-a-detailed-explanation-23439992536c`.

[3] Reena Thomas, *Expense vs. expenditure: Differences and definitions*, Ramp.com, Feb. 2026, visited on 03/16/2026, `https://ramp.com/blog/expenses-vs-expenditures`.

[4] L. Ramlakhanpatel Kin, "Concepts of Cost – A Detailed Explanation", *Medium*, Oct. 2025, `https://medium.com/@lramlakhanpatel/concepts-of-cost-a-detailed-explanation-23439992536c`.

[5] Steven Nickolas, *Variable Cost vs. Fixed Cost: What's the Difference?*, Investopedia, Feb. 2025, `https://www.investopedia.com/ask/answers/032515/what-difference-between-variable-cost-and-fixed-cost-economics.asp`.

costs with the production of phones to that of the production of t-shirts).[6]

Calculating variable costs is simple; it is the quantity of output multiplied by the variable cost per unit of output.[7] Suppose it costs $5 dollars to produce one t-shirt, and there are 100 units of t-shirts produced. The variable cost to produce 100 units of t-shirts would be $500.

Semi-variable costs are costs that involve a mixture of fixed costs, and variable costs. With semi-variable costs, the fixed portion remains stagnant, while the variable cost varies based on the output produced.[8] Suppose we have a firm that produced blenders. If the firm wants to produce more blenders, we need more workers (which is a variable cost, as it depends on the output produced). However, even if I didn't have any output produced, I still need workers to look after my non-existent production, which is a fixed cost.

Explicit and Implicit Costs

Explicit costs are transactions made out-of-pocket that have a measurable cost to a firm (e.g. wages, rent, utilities).[9] These costs can either be fixed, or variable.

Implicit costs are the opportunity cost of resources already owned, and do not show up on balance sheets. The best way to explain implicit costs is by looking at a non-profit company that produces a tangible product, that could be commercialized for profit. If that non-profit company uses its machinery to produce said product, it loses out on the next-best alternative which is revenue from commercializing the product.

Private and Social Costs

Private Costs are costs directly by the business or individual in producing a good or service.

Social Costs are costs imposed on third parties not directly involved in the activity or society as a whole (e.g. pollution, congestion), where there are positive (creates benefits for others without being reimbursed) and negative externalities (imposes a cost on someone, without reimbursing them) as it relates to social cost.

Total, Average, and Marginal Costs

Total Cost (TC) is the full cost of producing a given level of output; TC = Fixed Costs + Variable Costs.

Average Cost (AC) is cost per unit of output produced; AC = TC ÷ Quantity Produced.

Marginal Cost (MC) is the extra cost you face from doing one more unit of something. For example, if the total cost of 6 units is $1000, and the total cost of 7 units is $1900, then the marginal cost of the 7th unit is $900.

2.2.2.2 Value

Value can be defined as the set of benefits a product or service provides a customer based on their needs.

2.2.3 Profits and Revenue

Revenue is defined as all money a business generates through the sale of goods or services, before expenses are considered. There are two types of revenue: **gross revenue**, calculated by multiplying total units sold by the unit selling price, and **net revenue**, which is gross revenue less any purchase discounts and returns.[10]

[6] Steven Nickolas, *Variable Cost vs. Fixed Cost: What's the Difference?*, Investopedia, Feb. 2025, `https://www.investopedia.com/ask/answers/032515/what-difference-between-variable-cost-and-fixed-cost-economics.asp`.

[7] Steven Nickolas, *Variable Cost vs. Fixed Cost: What's the Difference?*, Investopedia, Feb. 2025, `https://www.investopedia.com/ask/answers/032515/what-difference-between-variable-cost-and-fixed-cost-economics.asp`.

[8] Alicia Tuovila, *Semi-Variable Cost Definition*, Investopedia, Sept. 2022, `https://www.investopedia.com/terms/s/semivariablecost.asp`.

[9] Tejvan Pettinger, *The Difference between implicit and explicit costs*, Economics Help, Apr. 2020, `https://www.economicshelp.org/microessays/costs/the-difference-between-implicit-and-explicit-costs/`.

[10] *What is revenue*, BDC.ca, `https://www.bdc.ca/en/articles-tools/entrepreneur-toolkit/templates-business-guides/glossary/revenue`.

Profit arises when revenue exceeds expenses. There are three measures of profit[11]:

- **Gross Profit** = Revenue − Cost of Goods Sold (COGS)
- **Operating Profit** = Gross Profit − Operating Expenses − Depreciation & Amortization (D&A), where depreciation applies to tangible assets and amortization to intangible assets such as patents and licences
- **Net Profit** ("the bottom line") = Earnings Before Interest and Tax (EBIT) − Interest Expense − Tax

Companies may distribute profits to shareholders as dividends, or reinvest them to fund future growth.

Profitability measures the efficiency with which a company generates profit relative to its size or resources. Key profitability ratios include[12]:

- **Gross Profit Margin** = Gross Profit ÷ Total Revenue
- **Net Profit Margin** = Net Profit ÷ Total Revenue
- **Return on Assets (ROA)** = Net Income ÷ Total Assets
- **Return on Average Assets (ROAA)** = Net Income ÷ Average Total Assets
- **Return on Equity (ROE)** = Net Income ÷ Shareholders' Equity

Key factors influencing profitability include expenses, demand, productivity, and competition.[13]

2.2.4 Value, Value Propositions, and Customer Needs

Value, Value Propositions, and Customer Needs

Value can be defined as the set of benefits a product or service provides to a customer, relative to their needs. Researchers such as Ruth N. Bolton argue that perceived value depends heavily on context and on the individual evaluating it — different individuals hold different priorities, which introduces inherent ambiguity into any valuation.

Value Creation Models

Porter conceptualised value creation as a linear chain: a supplier produces something and passes it downstream to the customer. Wikström and Normann proposed a more dynamic alternative — the **value star** — in which a web of interconnected actors contribute simultaneously. Uber illustrates this well: the driver, the company, and the passenger each create and receive value at the same time.

Perceived Value in Services

Perceived value for a service is shaped by four factors: quality, price, needs, and expectations.

[11] Will Kenton, *Understanding Profit*, Investopedia, June 2024, `https://www.investopedia.com/terms/p/profit.asp`.

[12] Melissa Horton, *Understanding Profit vs. Profitability: Key Financial Distinctions*, Investopedia, 2026, visited on 03/18/2026, `https://www.investopedia.com/ask/answers/012715/what-difference-between-profitability-and-profit.asp#citation-1`.

[13] Melissa Horton, *Understanding Profit vs. Profitability: Key Financial Distinctions*, Investopedia, 2026, visited on 03/18/2026, `https://www.investopedia.com/ask/answers/012715/what-difference-between-profitability-and-profit.asp#citation-1`.

Perceived Benefits vs. Perceived Sacrifice

Perceived benefits encompass the physical attributes of a product (quality, features), service attributes (support, delivery, assistance), technical support, perceived quality indicators, and performance in the customer's actual use case.

Perceived sacrifice includes all costs the customer faces, not merely the purchase price. These include time spent purchasing or learning to use the product, switching costs, and any other friction involved.

Formally:

$$\text{Perceived Value} = \frac{\text{Perceived Benefits}}{\text{Perceived Sacrifice}}$$

Ravald and Grönroos argue that value increases either when benefits increase or when sacrifice decreases. A firm can therefore increase perceived value by enhancing what the customer receives *or* by reducing the friction of buying. Amazon is an instructive example: product quality is broadly equivalent to competitors, yet removing shipping friction substantially increases perceived value.

Product as a "Value Carrier"

A product should always serve as a **value carrier**. A firm achieves sustainable competitive advantage when customers believe its offering delivers greater net perceived benefits than any competing alternative.

Relationship Value

Holmlund and Kock introduce the idea that the buyer–seller relationship itself carries value, through attributes such as trust, commitment, reliability, long-term cooperation, and reduced uncertainty. Customer value should therefore be understood as:

$$\text{Total Value} = \text{Episode Value} + \text{Relationship Value}$$

Episode value refers to the value derived from a specific transaction, determined by quality, price, needs, and expectations. **Relationship value** refers to the value that accrues from an ongoing relationship: trust, stability, familiarity, and reduced transaction costs. Importantly, a strong relationship can compensate for a relatively weak individual transaction.

Holmlund & Kock's Three Quality Dimensions

Holmlund and Kock identify three dimensions of quality in business relationships:

- **Technical Quality** — whether the offering meets specifications, fits the buyer's needs, and is accompanied by appropriate documentation.
- **Functional Quality** — the quality of communication, cooperation, and interpersonal interaction throughout the relationship.
- **Economic Quality** — all financial costs associated with the relationship, including coordination costs such as meetings and production costs.

Service Quality Theory

Grönroos distinguishes between **technical quality** (what the customer receives) and **functional quality** (how the service is delivered). A failure in technical quality can, in some circumstances, be offset by sufficiently strong functional quality.

Key Qualities Customers Prioritise

Research identifies three qualities customers prioritise above others: competitiveness, reliability, and adaptability.

Economic Quality for Each Party

For the *buyer*, economic quality means the relationship must be profitable — the value received must exceed the costs incurred. For the *supplier*, economic quality means the price paid by the customer must cover the costs of serving them. Notably, price is not the primary driver of value; expertise and reliability typically matter more.

The Diachronic Nature of Value Creation

Value is not created in a single moment but develops through repeated interactions over time. Long-term outcomes matter, and the effects of a relationship accumulate — this is the **diachronic** nature of value creation.

Customer Value Propositions

A **customer value proposition** is a statement that conveys what a brand does and how it differs from competitors. Emerging in the 1980s, it is now considered a central organising principle, strongly correlated with better business performance across marketing strategy, product development, customer relationships, and competitive positioning. A value proposition answers three questions:

- What benefits do customers receive?
- Why is the firm's offering superior to competitors?
- How does the company intend to deliver that value?

Practically, a value proposition aids in converting potential leads into customers, pitching to investors, and communicating clearly what the firm actually does.

Jobs to Be Done Theory

Developed by Harvard Business School Professor Clayton Christensen, **Jobs to Be Done** theory holds that customers do not purchase products based on attributes or demographics — they *hire* products and services to accomplish a specific job. The Warby Parker case illustrates this: the founders identified that glasses were artificially expensive due to a near-monopoly (the same company controlled LensCrafters, Pearle Vision, Ray-Ban, and Oakley), and repositioned their offering around the job of providing affordable, socially conscious eyewear.

How to Create a Value Proposition

A value proposition can be structured around four questions:

1. *For* — what is my brand offering?
2. *I will make a difference by* — what job does the customer hire my brand to do?
3. *Among all* — what companies and products compete with my brand for this job?
4. *Because* — what sets my brand apart from those competitors?

Types of Customer Needs

There are three categories of customer needs:

1. **Functional Needs** — practical, task-oriented requirements.
2. **Social Needs** — the desire to be perceived positively by others.
3. **Emotional Needs** — feelings and experiences the customer seeks.

2.2.4.1 Pain Points vs Desired Gains

2.2.4.2 Problem Awareness Levels

[14]

2.2.5 Relationship and Service Theory

[15][16]

2.2.6 Survival Analysis and Churn

[17][18][19]

2.3 The Sales Process

2.3.1 Our Goals

A salesperson should always have three consistent goals[20]:

1. Become obsessed with the process of becoming better every single day in work (doing something significant).
2. Care for your family, and friends (in love).
3. Be courageous even in the most difficult of times.

You'll notice, my interpretation is different from Care's in *Mastering Technical Sales*. He notes that making money should be a goal, but I disagree with him. Money isn't everything, nor should it be the goal. I recall reading *Man's Search for Meaning* in my early 20s, and coming across the Preface, which was written in 1992 by Viktor E. Frankl while he was staying in Vienna.

In a passage, he wrote:

> "Don't aim at success—the more you aim at it and make it a target, the more you are going to miss it. For success, like happiness, cannot be pursued; it must ensue, and it only does so as the unintended side-effect of one's dedication to a cause greater than oneself or as the by-product of one's surrender to a person other than oneself. Happiness must happen, and the same holds for success: you have to let it happen by not caring about it. I want you to listen to what your conscience commands you to do and go on to carry it out to the best of your knowledge. Then you will live to see that in the long run—in the long run, I say!—success will follow you precisely because you had forgotten to think of it."[21]

Now, I want to break this passage's main messaging down:

[14] Clayton M Christensen et al., "Know your customers' jobs to be done", *Harvard business review* 94, no. 9 (2016): 54–62.

[15] Alexander Haas, Ivan Snehota, and Daniela Corsaro, "Creating value in business relationships: The role of sales", *Industrial Marketing Management* 41, no. 1 (2012): 94–105.

[16] Kaj Storbacka et al., "The changing role of sales: viewing sales as a strategic, cross-functional process", *European Journal of marketing* 43, **numbers** 7-8 (2009): 890–906.

[17] Wikipedia Contributors, *Churn rate*, Wikipedia, Sept. 2019, `https://en.wikipedia.org/wiki/Churn_rate`.

[18] Rahul Raoniar, *Survival Analysis in Python (KM Estimate, Cox-PH and AFT Model)*, The Researchers' Guide, Nov. 2021, `https://medium.com/the-researchers-guide/survival-analysis-in-python-km-estimate-cox-ph-and-aft-model-5533843c5d5d`.

[19] Hannah Volk-Jesussek, *t-Test, Chi-Square, ANOVA, Regression, Correlation...*, Numiqo.com, 2025, `https://numiqo.com/tutorial/kaplan-meier-curve`.

[20] John Care and Aron Bohlig, *Mastering technical sales : the sales engineer's handbook* (Artech House, 2014).

[21] Viktor E. Frankl, *Man's Search For Meaning* (Beacon Press, 2017).

- Don't chase success directly.
  - If you end up making success with all you care about, you will miss it. Success must ensue with a process that is ridden with delusional self-belief.
- Success and happiness are side effects.
  - Success and happiness come when you're busy doing something you find meaningful.
- Listen to your conscience.
  - Do what you believe is right, not what will make you successful or happy.
- Focus on something bigger than you.
  - Instead of trying to become something, find a purposed goal that is bigger than you.
    - For example, an ideal cancer researcher does not go to work worrying about how their work will make them happy, or how it will benefit their personal life. Instead, they have a pursuit of solving the problem at the end, which is limiting, and maybe one day, finding a cure for cancer.
- Let go of the outcome.
  - If you are on the right track, you need to find a purposed approach to your pursuits that is void of being obsessed with the outcome.
  - For instance, suppose I was aiming to become a *bigshot* entrepreneur. I more likely than not will fail multiple times in my life. I might never become a successful entrepreneur. However, being able to take solace in the fact that outside of that outcome, you can still maintain some peace of semblance.
  - Another example could be death. We are all going to die. So, what is the point? The point is not to give up because we are going to die, the point is to try even harder because a life lived unfulfilled is a life not lived at all.

2.3.2 The Golden Rule of Selling (Guiding)

The goal behind sales should have nothing to do with the act of being as persuasive as possible to sell a product. If anything, this is a big no-no. Rather, a salesman will want to **guide.**

To guide someone, you need to have expertise, so it is important to note that your industry, company, and product knowledge must be deeper than your prospect. Specifically, you must understand the product you are selling, the business you are operating within, your prospect's business, and the market itself.

2.3.3 Business, Business Models and Their Characteristics

2.4 Business, Business Models and Their Characteristics

Businesses rely on transactions. Simply, a transaction is an economic event that involves the exchange of either goods, services, or cash between two or more parties.[22] For a transaction to occur:

1. The buyer and seller must agree on the terms of the exchange.
2. The buyer must offer something of value to the seller.

A **business model** is a "high-level plan for profitably operating a business in a specific marketplace."

[22] **shopify_transaction**.

2.4.1 Components of a Business Model

- Value Proposition.
- Target Audience.
- Products or Services.
- Anticipated Expenses.
- Primary levels: Pricing and Costs. Their difference.

2.4.2 Types of Business Models

- Retailers.
- Manufacturers.
- Fee-for-Service.
- Subscription.
- Freemium.
- Bundling.
- Marketplace.
- Affiliate.
- Razor Blade.
- Reverse Razor Blade.
- Franchise.
- Pay-as-You-Go.
- Brokerage.

2.4.3 Evaluating a Business Model

2.4.3.1 Gross Profit

2.4.3.2 Business Model Canvas (9 Blocks)

The Business Model Canvas is organized across three dimensions:

Desirability (Do customers want it?)

Customer Segments

- The heart of any model.
- Grouped based on needs, behaviors, and attributes.
- Who are we creating value for? Who are the most important customers?

Value Propositions

- The unique bundle of products/services that can solve customer problems.
- Value can be:
  - *Quantitative:* Price, Speed of Service.

  - *Qualitative:* Design, Customer Experience.
- Why should customers choose us over competitors?

Channels

- How a company communicates with and reaches customer segments.
- Through which channels do customers want to be reached? How are we reaching them now?

Customer Relationships

- Relationship established with customer segment.
- Can range from personal to fully automated.
- Serves three core goals:
  - Customer acquisition.
  - Customer retention.
  - Up-selling.

Visibility (Was it worth it?)

Feasibility (Can we deliver it?)

Adaptability (Can the idea survive and evolve?)

2.4.4 Business Model Analysis Template

- Who are the parties involved?
- What value is typically exchanged, and how?
- What enables the model to work?
- What are limitations or risks?
- How does it differ from similar models?

2.4.5 Business Model Types

2.4.5.1 Consumer-to-Consumer (C2C)

A person sells a personal item or service to another person, usually through eBay, Kijiji, or Facebook Marketplace.

The facilitating companies such as eBay, Kijiji, or Facebook Marketplace provide infrastructure, trust, and payment processing.

2.4.5.2 Business-to-Business (B2B)

A business sells a product or service that helps another business operate, produce, or grow.

Driven by ROI (return on investment). Why?

This process is highly difficult and tedious. Why?

Requires deep ICPC expertise. Without strong knowledge, B2B can be a waste of time.

The call structure should generally follow this outline:

1. Pre-call Prep.
2. First 3 minutes.
3. Discovery.
4. Present fit.
5. Handle Objections.
6. Gain commitment.

2.4.5.3 Business-to-Consumer (B2C)

2.4.5.4 Direct-to-Consumer (D2C)

2.4.5.5 Software-as-a-Service (SaaS)

1. Delivering centrally hosted applications over the internet on demand.
2. It is a system where a business pays a subscription for digital access to software. Assertive is a great example of this.
3. Some top SaaS companies include Apple, Microsoft, Google (owned by Alphabet), SAP, IBM, etc.
4. Customers' lifetime is annuity. It is the yearly renewal of their account.
5. Companies typically send out RFPs (request for protocols) when they need a service. They send out the details to multiple vendors and let them compete by submitting bids. It is a highly competitive cycle.
6. The end goal for a tech startup is either to go public (IPO) or to be acquired or join a merger.
7. Software in the 1980s was sold as a standalone product that you purchased and owned outright; came in the form of disks, along with licenses that gave the buyer access to some degree.

2.4.5.6 Business-to-Business SaaS (B2B SaaS)

2.4.5.7 Business-to-Consumer SaaS (B2C SaaS)

2.4.5.8 Infrastructure-as-a-Service (IaaS)

2.4.5.9 Platform-as-a-Service (PaaS)

2.4.5.10 Business-to-Government (B2G)

2.4.6 Business Funding Stages Breakdown

[23][24]

[23] Matt Preuss, *The Ultimate Guide to Startup Funding Stages*, `https://visible.vc/blog/startup-funding-stages/`, Accessed: 2026-03-17, Visible.vc, Oct. 2025.

[24] Investopedia, *Series B, C Funding: What It All Means and How It Works*, `https://www.investopedia.com/articles/personal-finance/102015/series-b-c-funding-what-it-all-means-and-how-it-works.asp`, Accessed: 17 March 2026, Oct. 2015.

2.4.7 6 Stages of a Buyer's Journey

[insert diagram]
Unlike a sales funnel, which is more of a model that focuses on the buyer's journey, the sales pipeline focuses on the seller's actions and is very process focused.

A sales pipeline is important because it promotes the following advantages:

1. **Planning and Research.**
   (a) I consider this to be something I'm very good at, and something that is incredibly important. You need to understand the product, and what problem it solves.
   (b) You also need to understand the market, similar products, and advantages, and trade-offs.
   (c) What problem does this product solve, and for whom?
   (d) Who are the competitors, and what are the trade-offs between solutions?
2. **Lead Qualification.**
   (a) Defining criterion for potential prospects (simply, crafting buyer personas). Allows for optimized efforts.
3. **Engaging (or Prospecting).**
   (a) Reach out to people who may want what is being sold.
4. **Discovery.**
   (a) Revolving around building a human-to-human relationship, asking lots of questions, and listening to their needs.
   (b) After talking to Artin, having a question-based technique that centers around discovering pain points is super important.
5. **Positioning (or Proposal).**
   (a) Once pain points are found, the product must be positioned in a way that can solve these pain points.
   (b) How does this product directly address the pain points uncovered?
   (c) What makes this solution better than the alternatives they've considered?
6. **Presentation (or Demoing).**
   (a) Show the product in action.
   (b) Does the demo speak to *their* specific pain points, or is it generic?
   (c) What moment in the demo is most likely to create conviction?
7. **Handling Objections.**
   (a) Address concerns and pushbacks.
   (b) Is the objection a dealbreaker or a misunderstanding?
8. **Evaluation.**
   (a) If the planning stage was done correctly, this should be very straightforward. The problem should be very wrought-out, and requirements should be met. However, in addition to this, the solution should be presented in a way that matches the pain point that was described.
   (b) Does the solution meet the requirements defined in Stage 1?
   (c) Is the value being communicated in the prospect's own language?
9. **Closing.**
   (a) What is the decision-making process on their end?
   (b) What is the next concrete step?
10. **After-Sales.**
    (a) What would make them a repeat buyer or an

2.4.8 Sales Pipeline

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A sales pipeline is important because it promotes the following advantages:

1. **Planning and Research.**
   (a) I consider this to be something I'm very good at, and something that is incredibly important. You need to understand the product, and what problem it solves.
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   (c) What problem does this product solve, and for whom?
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   (a) What is the decision-making process on their end?
   (b) What is the next concrete step?
10. **After-Sales.**
   (a) What would make them a repeat buyer or an advocate?

2.4.9 Sales Funnel (Prospect Journey Model)

A model that maps the customer journey from first becoming aware of the product being sold all the way to them making a purchase (and into after-sales).

The name comes from the shape. For example, you start with a large pool of potential customers at the top, and a smaller number make it through each stage to eventually convert.

[insert diagram]

Typically, the stages move from:

1. **Awareness.**
   (a) Prospects discover the brand via marketing (ads, social media, content). This comes from pursuing inbound marketing, where businesses attract customers by providing information that is useful or positioning themselves as visible.
2. **Interest.**
   (a) Tools such as webinars, case studies, and landing pages aid in educating and engaging curious prospects.
   (b) Often use educational tools to engage their prospects, including:
      i. Webinars.
      ii. Case studies.
      iii. Landing pages.
      iv. Informational content.
3. **Consideration.**
   (a) Prospects evaluate the product meets their needs:
      i. Pricing.
      ii. Product features.
      iii. NFQs.
      iv. Customer Support.
      v. Trade-Offs with Competing Alternatives.
4. **Intent.**
   (a) Clear purchase signals are any actions that a prospect takes that suggest they are moving toward a buying decision:
      i. Requesting a product demo.
      ii. Asking for a quote or pricing breakdown.
      iii. Starting a free trial.
      iv. Visiting pricing or checkout pages.
   (b) Retargeting begins here. Retargeting is a marketing tactic where you serve ads to people who have not been converted yet. Usually work through tracking tools such as cookies.
5. **Evaluation/Purchase.**
   (a) A thorough evaluation must be done, considering ROI, scalability, and integration with existing systems. During this stage, the **sales team plays a key role** by answering questions, providing product demonstrations, and addressing concerns. If the evaluation is successful, the prospect converts into a **paying customer**.
   (b) Usually at this stage, prospects tend to finalize their purchase and become paying customers.
6. **Loyalty (during After-Sales).**
   (a) Businesses focus on satisfaction and advocacy through excellent customer service. Ongoing engagement is important.
   (b) Businesses focus on:

i. High-quality customer service.
ii. Continuous engagement.
iii. Customer satisfaction.
iv. Satisfied customers can become **advocates** who recommend the product to others.

The following are some advantages to having a sales funnel:

1. **Allows for better customer retention.**
   (a) Acquiring a new customer is significantly more expensive than keeping one. Retained customers also tend to spend more overtime.
2. **Using real behavioral data, clicks, purchases, drop-off points, to make smarter decisions instead of guessing.**
   (a) Without data, optimizing is much harder. With data, you can see exactly where prospects are getting stuck or dropping off.
   (b) CRM such as SalesForce, or HubSpot, log every interaction a prospect has with the brand. The funnel feeds data into the system, giving your team a full picture of each customer's history and behavior.
3. **Enhanced audience targeting.**
   (a) Marketing resources, like all resources, are scarce, and finite. Spending them on bad leads to waste energy.
   (b) The funnel helps build buyer personas, profiles of the ideal customer.
4. **Increased referrals and social proof.**
   (a) People trust people more than they trust brands (not always true for established brands, but for new brands this tends to be the case).
   (b) By delivering good experience, especially after-sales, advocates for the product can be formed.

2.4.9.1 Growing Role of AI in Sales Funnel

IBM did a study through IBMV that found that by 2026, 83% of executives expect AI agents to automatically execute real-time tasks and automated deal progression. Embracing AI must be strategic, and now there is more of an emphasis on cleaning data within the ETL pipeline. (not sure where this fits in).

AI systems can automatically score leads, personalize marketing messages, trigger follow-ups at optimal times, and predict which prospects are most likely to convert.

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Chapter 3

Groundwork for Success in Sales Development

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3.1 Learning Outcomes

3.2 Key Sales Roles, and Their Definitions

3.3 Listening And Questioning Skills in the Sales Process

3.3.1 Active Listening

3.3.2 Types of Questions to Ask

3.4 Six Elements of Sales Development Success

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3.5 References

Bertuzzi, Trish. *The Sales Development Playbook: Build Repeatable Pipeline and Accelerate Growth with Inside Sales*. Moore-Lake, 2016.

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[1]Trish Bertuzzi, *The Sales Development Playbook: Build Repeatable Pipeline and Accelerate Growth with Inside Sales* (Moore-Lake, 2016).

[2]Paul Cherry, *Questions That Sell: The Powerful Process for Discovering What Your Customer Really Wants* (Harper-Christian+ORM, 2017).

Chapter 4

Planning and Research

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4.1 Learning Outcomes

4.2 Key Questions to Ask

4.3 ICPC Expertise

4.3.1 Industry Knowledge

4.3.1.1 Market Research Techniques

4.3.1.2 TREND Analysis

4.3.1.3 PESTEL Analysis

4.3.2 Company Knowledge

4.3.2.1 Internal Research

4.3.2.2 Corporate Communications

4.3.3 Product Knowledge

4.3.3.1 What It Does

4.3.3.2 Why It Aids the Prospect

4.3.3.3 How and Where It Can Be Used

4.3.4 Customer Knowledge

4.4 Market Research

4.4.1 Primary vs. Secondary Research

4.4.2 11 Types of Market Research

4.4.3 Porter's 5 Forces

4.4.3.1 Threat of New Entrants

4.4.3.2 Bargaining Power of Suppliers

4.4.3.3 Bargaining Power of Buyers

4.4.3.4 Threat of Substitutes

4.4.3.5 Competitive Rivalry

4.4.4 SWOT Analysis

4.4.5 When to Use Each Framework

4.5 Account Research

4.5.1 Trigger Events

4.5.2 Relevant Initiatives

4.5.3 Identifying Business Problems

4.5.4 Time-Bounded Research Practice

4.6 Inbound vs. Outbound Sales

4.6.1 Inbound Sales

4.6.2 Outbound Sales

4.6.2.1 Cold Calling

4.6.2.2 The Sales Pipeline Process

4.7 Building a Prospect List

4.7.1 Prioritization Logic

4.7.2 Prospecting Sources

4.7.2.1 Ex-Customers

4.7.2.2 Competitors' Customers

4.7.2.3 Adjacent Industries

4.7.3 Prospecting Tools and Signals

4.8 Personalized and Targeted Outreach

4.8.1 Trigger-Based Personalization

4.8.2 Role-Specific Personalization

4.8.3 Outcome-Oriented Messaging

4.8.4 The One-Minute Rule

4.9 Planning & Research Workflow

4.9.1 Step 1: Define ICP (5–10 min)

4.9.1.1 Industry

4.9.1.2 Company Size

4.9.1.3 Revenue Band

4.9.1.4 Key Pain Trigger

4.9.1.5 Output: Yes/No Filter

4.9.2 Step 2: Prioritize Accounts (10–15 min)

4.9.2.1 ICP Fit

4.9.2.2 Recent Signals

4.9.2.3 Likelihood of Pain

4.9.3 Step 3: Persona Mapping (5 min per Account)

4.9.3.1 Role

4.9.3.2 Likely KPIs

4.9.3.3 Likely Pain Points

4.9.4 Step 4: Account Research (5–10 min max)

4.9.4.1 Trigger Event

4.9.4.2 Relevant Initiative

4.9.4.3 Clear Business Problem

4.9.5 Step 5: Message Construction

4.9.5.1 Personalization Hook

4.9.5.2 Pain Alignment

4.9.5.3 Clear Ask

Chapter 5

Lead Qualification

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5.1 Learning Outcomes

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5.2 What is Lead Qualification?

5.2.1 Definition

5.2.2 Why It Matters

5.2.3 Failure Modes

5.2.3.1 Over-Qualification

5.2.3.2 Under-Qualification

5.2.3.3 Bias in Manual Qualification

[1] Jeb Blount, *Fanatical Prospecting: The Ultimate Guide to Opening Sales Conversations and Filling the Pipeline by Leveraging Social Selling, Telephone, Email, Text, and Cold Calling* (John Wiley & Sons, 2015).

5.2.4 Example Scenarios

5.3 Types of Qualified Leads

5.3.1 Marketing Qualified Lead (MQL)

5.3.2 Sales Qualified Lead (SQL)

5.3.3 Product Qualified Lead (PQL)

5.3.4 Sales Accepted Lead (SAL)

5.3.5 Comparative Analysis

5.4 Lead Qualification Criteria

5.4.1 Explicit Data

5.4.2 Implicit Data

5.4.3 Key Criteria Dimensions

5.4.3.1 Demographic and Firmographic

5.4.3.2 Psychographic

5.4.3.3 Technographic

5.4.3.4 Behavioural

5.5 Lead Qualification Checklist

5.5.1 Identify ICP Alignment

5.5.2 Assess Behavioural Signals

5.5.3 Uncover Needs and Pain Points

5.5.4 Determine Budget and Authority

5.5.5 Implement a Lead Scoring System

5.5.6 Establish a Follow-Up Strategy

5.6 Lead Scoring Models

5.6.1 Rule-Based Scoring

5.6.2 Engagement-Based Scoring

5.6.3 Intent-Based Scoring

5.6.4 ML Predictive Scoring

5.6.5 Negative Scoring

5.6.6 Model Selection Criteria

5.7 Qualification Frameworks

5.7.1 BANT

5.7.2 MEDDIC

5.7.3 CHAMP

5.7.4 GPCTBA/C&I

5.7.5 Comparative Evaluation

5.7.5.1 When to Use Each Framework

5.7.5.2 Tradeoffs: Speed, Depth, and Accuracy

5.8 Typical Lead Qualification Process

5.8.1 Step-by-Step Pipeline

5.8.1.1 Lead Acquisition

5.8.1.2 Data Enrichment

5.8.1.3 Initial Scoring

5.8.1.4 Framework Application

5.8.1.5 Sales Validation

5.8.1.6 Follow-Up or Disqualification

5.8.2 Feedback Loop

5.9 Typical Lead Qualification Process

5.9.1 Step-by-Step Pipeline

5.9.1.1 Lead Acquisition

5.9.1.2 Data Enrichment

5.9.1.3 Initial Scoring

5.9.1.4 Framework Application

5.9.1.5 Sales Validation

5.9.1.6 Follow-Up or Disqualification

5.9.2 Feedback Loop

5.10 References

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Chapter 6

Engaging (Prospecting)

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6.1 Learning Outcomes

6.2 What is Prospecting?

6.2.1 Definition

6.2.2 Why It Matters

6.2.3 The Universal Law of Need

6.2.4 The 30-Day Rule

6.2.5 The Law of Replacement

6.3 The Mindset of a Fanatical Prospector

6.3.1 Relentless Consistency

6.3.2 The Three Ps

6.3.2.1 Procrastination

6.3.2.2 Perfectionism

6.3.2.3 Paralysis from Analysis

6.3.3 Dealing with Rejection

6.3.3.1 Rejection Proof Mindset

6.3.3.2 Emotional Control

6.4 Pipeline Management

6.4.1 Why the Pipeline is Everything

6.4.2 Pipeline Metrics

6.4.2.1 Number of Prospects

6.4.2.2 Conversion Rates

6.4.2.3 Average Deal Size

6.4.3 Balanced Pipeline

6.4.4 Identifying and Fixing Pipeline Problems

6.5 Time Management for Prospectors

6.5.1 Golden Hours

6.5.2 Time Blocking

6.5.2.1 Telephone Blocks

6.5.2.2 Email Blocks

6.5.2.3 Social Selling Blocks

6.5.3 Minimising Non-Revenue Activities

6.6 Targeting and Prospecting Lists

6.6.1 Defining Your Ideal Prospect

6.6.2 Stakeholder Levels

6.6.2.1 C-Suite

6.6.2.2 VP-Level

6.6.2.3 Manager-Level

6.6.3 Building and Segmenting Lists

6.7 Multi-Channel Prospecting

6.7.1 The Multi-Channel Approach

6.7.2 Channel Selection by Context

6.8 Telephone Prospecting and Cold Calling

6.8.1 Why the Phone Still Wins

6.8.2 Anatomy of a Cold Call

6.8.2.1 The Opening

6.8.2.2 The Value Bridge

6.8.2.3 The Ask

6.8.3 Gatekeepers

6.8.3.1 Strategies for Getting Past Gatekeepers

6.8.4 Leaving Voicemails

6.8.4.1 When to Leave One

6.8.4.2 Voicemail Formula

6.8.5 Telephone Objection Turnarounds

6.9 Email Prospecting

6.9.1 Why Email Still Works

6.9.2 Anatomy of a Prospecting Email

6.9.2.1 Subject Line

6.9.2.2 Opening Hook

6.9.2.3 Value Proposition

6.9.2.4 Call to Action

6.9.3 The One-Minute Rule

6.9.4 Follow-Up Sequences

6.9.5 Common Email Mistakes

6.10 Social Selling

6.10.1 What Social Selling Is (and Is Not)

6.10.2 LinkedIn as a Prospecting Tool

6.10.2.1 Profile Optimisation

6.10.2.2 Searching and Filtering

6.10.2.3 Connection Requests

6.10.2.4 Messaging Sequences

6.10.3 Trigger Events on Social Media

6.10.4 Content as a Prospecting Tool

6.11 Text Message Prospecting

6.11.1 When to Use Text

6.11.2 Text Messaging Rules and Etiquette

6.11.3 Text Message Formula

6.12 Prospecting in the Modern Era

6.12.1 AI and Automation in Prospecting

6.12.2 Personalisation at Scale

6.12.3 Signal-Based Prospecting

Chapter 7

Discovery

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7.1 Learning Outcomes

7.2 What is Discovery?

7.2.1 Definition

7.2.2 Why It Matters

7.2.3 Discovery vs. Qualification

7.3 The Discovery Flow

7.3.1 Step 1: Context

7.3.2 Step 2: Pain

7.3.3 Step 3: Impact

7.3.4 Step 4: Value

7.3.5 Step 5: Next Step

7.4 Pain Points

7.4.1 Sandler's Pain Points

7.4.2 Latent vs Non-Latent Pain Points

7.5 Identifying Customer Needs

7.5.1 Functional Requirements

7.5.2 Non-Functional Requirements

7.5.2.1 Performance

7.5.2.2 Security

7.5.2.3 Usability

7.5.2.4 Reliability

7.5.2.5 Scalability

7.5.2.6 Maintainability

7.5.2.7 Portability

7.5.2.8 Supportability

7.6 Sales Methodologies

7.6.1 What is a Sales Methodology?

7.6.2 How, Where, and Why They Are Used

7.6.3 Choosing the Right Methodology

7.7 SPIN Selling

7.7.1 Background and Origins

7.7.2 Situation Questions

7.7.2.1 Goal: Understand Requirements

7.7.2.2 When to Stop Asking

7.7.3 Problem Questions

7.7.3.1 Uncovering Pain Points

7.7.4 Implication Questions

7.7.4.1 Consequences of Unresolved Pain

7.7.5 Need-Payoff Questions

7.7.5.1 Urgency and Value

7.7.6 Where Deals Are Won: Problem + Implication

7.8 Other Key Methodologies

7.8.1 NEAT Selling

7.8.1.1 When to Use

7.8.1.2 Tradeoffs

7.8.2 Challenger Selling

7.8.2.1 When to Use

7.8.2.2 Tradeoffs

7.8.3 Sandler System

7.8.3.1 When to Use

7.8.3.2 Tradeoffs

7.8.4 Gap Selling

7.8.4.1 Current State vs. Future State

7.8.4.2 When to Use

7.8.4.3 Tradeoffs

7.8.5 Solution Selling

7.8.5.1 When to Use

7.8.5.2 Tradeoffs

7.8.6 Conceptual Selling

7.8.6.1 When to Use

7.8.6.2 Tradeoffs

7.8.7 SNAP Selling

7.8.7.1 When to Use

7.8.7.2 Tradeoffs

7.8.8 MEDDIC

7.8.8.1 When to Use

7.8.8.2 Tradeoffs

7.8.9 Comparative Evaluation

7.9 Controlling the Discovery Conversation

7.9.1 Avoiding Over-Questioning

7.9.2 Reframing the Prospect's Problem

7.9.3 Linking Discovery to Qualification

7.9.3.1 Budget

7.9.3.2 Authority

7.9.3.3 Urgency

Chapter 8

Presentation

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8.1 Learning Outcomes

8.2 The Strategy

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8.3 References

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[1] Peter E. Cohan, *Great Demo!: How to Create and Execute Stunning Software Demonstrations* (iUniverse, 2003).

Chapter 9

Handling Objections and Evaluation

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9.1 Learning Outcomes

9.2 Objection Handling

9.2.1 Types of Objections

9.2.1.1 Reflex Objections

9.2.1.2 Real Objections

9.2.2 The Ledge Technique

9.2.3 Turnaround Frameworks

9.2.4 When to Disengage

Chapter 10

In-Depth Closing

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10.1 Learning Outcomes

A common issue in sales is the loss of a potential close. This usually stems from a failure to act, rather than the product. The number one marker of success is confidence. You cannot have zero self-perception, you must be confident in your skills, and fearless in this industry. To solve this, there needs to be a delusional form of self-belief in your skills and abilities as a salesperson. There are 3 steps to being professional: 1. Understanding the value you bring to the table. 2. Behaving like a professional. Be curious, and respectful. 3. Present your solutions in a professional, caring manner. By being professional, you have EARNED the right to ask for the buyer's business. Asking for the order is not an imposition. To ask for an order, you need to be authentic. Trying to be someone you will not lead nowhere. People can smell bullshit. Be empathetic.

Chapter 11

After-Sales

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11.1 Learning Outcomes

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11.2 References

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